

21STCV26577 21STCV26577

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Sammy's Warehouse v. Cecelia Tech Inc., et al.

MOTION FOR JUDGMENT AGAINST GARNISHEE

MOVING PARTY: Judgment Creditor Sammy's Warehouse

RESPONDING PARTY(S): None

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Plaintiff Sammy's Warehouse filed the instant action against Defendants Cecilia Tech Inc., Changzhi Pan, Oleg Poskotin, and Essenflow, Inc. Plaintiff alleges it entered into agreements with Defendants whereby it would connect Defendants with customers and facilitate purchase and sale transactions. In consideration for making the connections, Plaintiff would receive a commission on the resulting sales. Plaintiff further alleges Defendants circumvented these agreements and refused to pay commissions to Plaintiff as agreed. Plaintiff also alleges that Defendant Cecilia Tech breached an agreement between the two stating that Plaintiff would be an authorized distributor of Defendant's products.

The Court granted Defendants Cecilia Tech, Inc.'s and Changzhi Pan's motion to compel arbitration on January 19, 2022, and stayed the case pending binding arbitration. The parties engaged in two separate arbitrations: one between Plaintiff and Defendant Cecilia Tech, and another between Plaintiff and the Essenflow Defendants. On August 4, 2025, this Court granted Plaintiff's motion to confirm the arbitration award against defendant Cecilia Tech, Inc.

On February 6, 2026, Sammy's Warehouse (Judgment Creditor) moved for judgment against garnishee, JP Morgan Chase Bank, N.A (Chase). This motion was continued three times because of a failure to properly serve Chase.

On June 15, 2026, judgment debtor Cecilia Tech Inc. filed chapter 7 bankruptcy. As a result, an automatic stay is now in effect in this action.

TENTATIVE RULING:

Judgment Creditor's motion for judgment against garnishee is CONTINUED to December 22, 2026.

DISCUSSION:

Motion for Judgment Against Garnishee

Before this motion may be addressed on the merits, Judgment Creditor must seek relief from the automatic stay in the bankruptcy court.

First, a judgment against Chase would modify the judgment against Ceclia Tech Inc. because any recovery against Chase would have the effect of reducing the judgment against Ceclia Tech Inc. (See e.g. *Tavaglione v. Billings* (1993) 4 Cal.4th 1150, 1158 [a judgment creditor is not entitled to more than a single recovery for each distinct item of compensable damage.]) While liability arising from this motion attaches solely to Chase, it is interwoven with the judgment against Cecilia Tech Inc. as any judgment against Chase is tied to the enforcement of the underlying judgment. (See Code of Civ. Pro., § 701.020, subd. (b), [liability only continues while the underlying judgment is outstanding.]) This, therefore, makes it an “act to collect, assess, or recover a claim against the debtor that arose before the commencement of the case under this title.” (11 U.S. Code § 362, subd. (a)(6); see *National Financial Lending, LLC v. Superior Court* (2013) 222 Cal.App.4th 262, 267 [“a motion under section 701.020, by which a judgment creditor seeks to impose liability for failure to honor a notice of levy, although it implicates substantial interests of third parties and gives rise to a separate adversary factfinding process, is nonetheless an incident to the underlying action and is not itself a separate special proceeding.”])

Now, the Court recognizes Judgment Creditor's argument for relief from this automatic stay as Ceclia Tech Inc. does not have equity in Chase's independent property. (11 U.S. Code § 362, subd. (d)(2)(A), [“after notice and a hearing, the court shall grant relief from the stay provided under subsection (a) of this section, such as by terminating, annulling, modifying, or conditioning such stay....if the debtor does not have an equity in such property”]) Indeed, on its face this appears to be true, and moreover, there is a better argument that if this Court were to grant this motion, it would not constitute an action “against the Debtor,” as it actually helps the Debtor at first glance by lowering the judgment. However, in such an event it is highly likely that the Garnishee could then seek some type of contribution back from the Debtor, in a separate legal action, and in such an event, the Debtor could end up owing more money than it originally owed. As such, in the long run, the granting of this motion could result in an adverse effect against the Debtor.

More importantly, an “automatic stay is an injunction issuing from the authority of the bankruptcy court, and bankruptcy court orders are not subject to collateral attack in other courts.” (In re Gruntz (9th Cir. 2000) 202 F.3d 1074, 1082.) “Any state court modification of the automatic stay would constitute an unauthorized infringement upon the bankruptcy court's jurisdiction to enforce the stay.” (Ibid.) Indeed, such “actions taken in violation of the automatic stay are void.” (Ibid.) Therefore, Judgment Creditor's must seek relief from the automatic stay in the bankruptcy court before proceeding in this motion.

Therefore, the proper course of action is to continue this motion and allow Judgment Creditor to obtain a limited stay relief in the bankruptcy court for purposes of this motion.

Accordingly, Judgment Creditor's motion for judgment against garnishee is CONTINUED to December 22, 2026.

IT IS SO ORDERED.

Dated: September 22, 2026 _____

Randolph M. Hammock

Judge of the Superior Court

Any party may submit on the tentative ruling by contacting the courtroom via email at SMCDept509@lacourt.ca.gov by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.